

that the company didn't really know what to do with itself. In the second phase it would have invested all its money in its own expansion.

As soon as there's a Wendy's next door to every McDonald's, the only way Wendy's can grow is by winning over the McDonald's customers. Where can Anheuser-Busch grow if it already has captured 40 percent of the beer-drinking market? Even Spuds MacKenzie the party dog can't convince 100 percent of the nation to drink Bud, and at least a minority of brave souls is going to refuse to order Bud Light, even if they are zapped by lasers or abducted by aliens. Sooner or later Anheuser-Busch is going to slow down, and the stock price and the p/e multiple will both shrink accordingly.

Or perhaps Anheuser-Busch will think of new ways to grow, the same way McDonald's has. A decade ago investors began worrying that McDonald's incredible expansion was a thing of the past. Everywhere you looked, there seemed to be a McDonald's franchise, and sure enough the p/e ratio has been compressed from the 30 p/e of a fast grower down to the 12 p/e of a stalwart. But in spite of that vote of no confidence (the stock went sideways from '72 to '82), the earnings have been very strong. McDonald's has maintained its growth in imaginative ways.

First, they installed the drive-in windows, which now account for over one-third of the business. Then there was breakfast, which added a whole new dimension to sales, and at a time when the building would otherwise have been empty. Adding breakfast expanded restaurant sales by over 20 percent at very low cost. Then there were salads, and chicken, both of which added to earnings and also ended the company's dependence on the beef market. People assume that if beef prices go up, McDonald's will get clobbered—but they're talking about the old McDonald's.

As the construction of new franchises slows down, McDonald's has proven it can grow within its existing walls. It's also expanding rapidly in foreign countries, and it will be decades before there's a McDonald's on every street corner in England or in Germany. In spite of the lower p/e ratio, it's not all over for McDonald's.

If you bought just about any company in the cable industry, you would have seen a series of growth spurts: first, from the rural installations; second, from pay services such as HBO, Cinemax, the Disney channel, etc.; third, from the urban installations; fourth, from the royalties from programs such as Home Shopping Network (cable gets a cut for every item sold); and lately from the introduction of paid advertising, which has a huge future profit potential. The basic story gets better and better.

Texas Air is an example of a story that got worse, then better, then worse again in a matter of five years. I took a small position in the stock in mid-1983,